

Actually the number of shares runs into lakhs, and the price can be in triple digits, so the market-cap numbers look much bigger than our example. India's largest company by market cap is currently Tata Consultancy Services with a market cap of over Rs 6.6 lakh crores. The 30th company's market cap is Rs 1 lakh crores. The 100th company on the BSE has almost Rs 25,000 crores of market cap.

To be included in the thirty-stock Sensex, the listed company needs to have a pretty large capitalization. This means that they have plenty of shares in the market and the price level is not in single digits either.

Large market-cap companies are usually the mature, established firms in the market. They are known for giving dividends rather than rapid growth. SEBI defines a large-cap company as one that features within the first 100 companies by market cap on the stock market. A mid-cap is a company that ranks between 101 to 250 by market cap, and small-caps are 251 and below.

Do the Sensex companies change or do they remain the same over time? Just as new products and services enter the consumer price index and old ones become less important, so also the sectors and firms within the Sensex change. The Sensex was formally launched on 2 January 1986 with thirty most actively traded stocks of that period, with 1 April 1979 as the base year, and an initial value of 100.

In 1986 the Sensex was made up of companies that included ACC, Bombay Dyeing, Great Eastern Shipping, Gwalior Rayon, Mukund and Zenith. These exited the index by 2004, and today there is a new set of companies with just five of the original thirty still in the Sensex. Mr Sensex throws out the companies that are no longer the largest and bestselling, and includes companies that represent the new areas of activity in the country. Gone are the cement, steel, commodity and engineering stocks. The changing face of Mr Sensex reflects the market change from the 1980s to date.

For example, banking, telecom and pharma were sectors that did not find a place in the 1980s Sensex, but are now firmly in the index. Companies are included and excluded based on a formula and not because the company chairman is friends with the SEBI chairman or the CEO of the stock exchange.